CHAPTER SEVEN

THE APPOINTMENT

The Inevitable

Even as the strike in TELCO took a turn for the worse by the end of 1988, the eighty-four-year-old J.R.D. Tata was weighed down by another important concern—finding his successor.

In an interview around that time, he said: ‘A stage is reached in a man’s life when his effectiveness is bound to be affected by age and the need for change. When you reach the age of eighty-four, and a company has a strong management, sooner or later you should hand over.’ He added: ‘In well-run companies, succession should be created in advance.’ Ironically, he may have been a tad late in doing so himself.

The race looked open. There were many contenders, just like in 1980 when candidates were being considered to head TIL. The Tatas followed a different ethos from other family-run business groups, in which succession was determined by familial ties. ‘But the Tatas have always prided themselves in being different’, as a business journal wrote.

JRD’s experience after Ratan’s nomination as the TIL chairman in 1981 was a trailer to what he could expect after he named his successor in Tata Sons. Choosing anyone other than one of the veterans could create an upheaval. Any misstep in his choice could potentially ‘jeopardise both group unity and the success of the expansion programme’, commented a leading Indian journal.

Russi Mody was JRD’s favourite and had been expected to succeed him. Naval Tata, Sumant Moolgaokar, Freddie Mehta, Darbari Seth, Ajit Kerkar—the MD of Indian Hotels—Nani Palkhivala and Ratan were also seen as being in the race. Among them, Ratan was not generally perceived as a serious contender, though some considered him to be the frontrunner; soon